

connectivity, you need to have great display technologies, you need to have great compute and GPUs, audio technologies, navigation technologies, and more. You have to bring all of these together down to the lower tiers to provide the proper experience down to the tier. It's a longish answer, but hopefully, you'll appreciate where I'm coming from

Q True, true, it's the way the industry has functioned for decades, wherein you have a certain cadence and that's very much tied into the way the ecosystem works and the way people are able to afford better objects over time.

Sachin: I would say, it's the affordability as well as actually appreciation. Because if you do not have that game at the top tier, the lower tier will not understand whether something exists or not. It's like, you can say that the features at the top tier become a showcase to create awareness among all the tiers. And then as that awareness gets developed, they start becoming relevant to those lower tiers as well.

Q There's also this trend in the market where more and more OEMs are coming up with their own R&D teams for developing their own silicon. For example, the Snapdragon XR1 and XR2 powered the Oculus Quest units, but I think around CES 2022 we already had some rumours stating that the Quest 3 will be powered by Meta's own silicon. And we saw similar trends with Apple who are, you know, making their own silicon. You have Amazon making their own silicon. Google is coming out with their own co-processors within smartphones, wherein the core is still an existing processor that they might have used for ages, but slowly all of these vendors and OEMs or members of the ecosystem, are focusing on creating their own silicon, which is sort of encroaching into Snapdragons territory. So what's your take on that?

Sachin: So I won't say that is a big issue. We have seen this thing in smartphones as well, right? The space is so large or so huge that there can be multiple vendors. That's not an issue.



I think at the end of the day, it is not just innovation on one vector, right? I can create a powerful GPU, but if I leave out other aspects then it doesn't create a good gaming experience, for example. Same thing for VR. If you look at VR, you need so many technologies right from the sensors, the ability to integrate them and handle their connectivity. Then you have the processing. It's even more complex than gaming, I would say, in terms of the capability to render at a certain resolution with multiple frames so that it is really appealing to the eyes.

Multiple people working on it are actually helping the ecosystem. At the end of the day, we have to look at how the technologies that you innovate help the larger cause basically, right? And if you look at our recent announcements, they are much beyond smartphones. We have one technology roadmap that we leverage for multiple things. We have the XR devices, we had a gaming device which we had announced. And now we have leveraged the same for computing and auto, right? And then

there's the technology that we have developed for audio and wearables. And when you piece it all together from end-to-end, that is the experience you are looking at delivering to the consumer. Because if you miss a beat while playing the game then it's less appealing to, what you may call, a discernible gamer, right? One who is looking for a very unique experience with gaming will find it sub-optimal, essentially. So you do that at the top tier i.e. try to bring together all the technologies to create that wholesome experience, which is not only immersive and differentiated but also at a low power cost because that's the other thing you have to manage. So it does take a lot of investments, R&D capabilities, and innovations to bring all this together. And from the overall experience point of view, then people will still look to Snapdragon so that we can not only provide them with a good what you call feel, in terms of the benchmarks but the most critical aspect is the sustained experience that you have to provide them right? And that's where the focus has essentially been.

Oculus Quest has been around and there are other things also happening in the market. Multiple OEMs, ODMs and ecosystem players are working on VR now. Metaverse is also there. So this industry is going to be quite transformative, over the next several years and we are working together very closely with the ecosystem partners to make it happen. Basically, we are very committed there in that sense and the right technologies to make it happen do exist with us. **Q**

